

Red Bail Books Go to State Inquiry; Banking Official Sees Insolvency

Drained by Forfeitures, Fund Is Now Facing Liquidation, Which May Bring Out Names of the 4,000 Contributors

Examination of the bail fund of the Civil Rights Congress by the New York State Banking Department has indicated that it was probably in violation of state banking laws and that it is now insolvent as a result of forfeitures and faces liquidation.

This was made known here yesterday by Donald H. Aiken, Deputy Superintendent and Counsel of the New York State Banking Department. He disclosed that the five-year-old organization, which acted as bondsman for arrested Communists, had assets totaling \$876,000 and liabilities amounting to \$880,000 on Dec. 31, 1950.

He said that the organization's records were delivered in three large cartons yesterday to the office of the banking department by Victor Rabinowitz, attorney for Frederick Vanderbilt Field, a trustee of the fund, now serving nine months for contempt of court for refusal to turn over these records to the Federal Court.

Issuing a statement prepared by William A. Lyons, State Superintendent of Banks, Mr. Aiken said that examination of the bail fund's records followed questioning of Field, Dashiell Hammet, writer, Abner Green, executive secretary for the Committee for the Protection of Foreign Born, and Dr. William Alphaeus Hunton, the trustees.

Mr. Aiken noted that the Banking Department's investigation began July 12 when its attention had been called to the bail fund by United States Attorney Irving H. Saypol, who suggested possible violations of the state banking laws.

Legality of Taking Deposits

In his statement, Mr. Lyons recounted the Banking Department's study of bail fund documents that figured in Federal Court and noted that the fund's books and records had "now been made available for examination." Pointing out that the proceedings were confidential, he added:

"It may, however, be said that if the investigation results in the determination by the Banking Department that the activities of the bail fund constituted the acceptance of deposits contrary to law, the Banking Department will take steps to insure the termination of these activities, the liquidation of the fund and the return of the monies and securities to depositors.

"Should the subsequent investigation establish that any violation was willful or that there has been fraudulent misconduct, appropriate penalties exist which will insure proper punishment."

Mr. Aiken, commenting in his office at 270 Broadway, said:

"From what has been learned so far it is reasonable to predict that the bail fund of the Civil

Rights Congress will be found to have engaged in banking functions contrary to law. The organization is probably insolvent because of bail forfeitures."

Mr. Aiken said that if a receiver distributed the assets of the bail fund, after liquidation, the names of some 4,000 contributors might be made public.

After the Banking Department's disclosure of its study of the bail fund's books, Field issued late yesterday through the law offices of Mr. Rabinowitz a statement to the effect that "the present subversive campaign against bail rights" made it advisable that the funds of the bail fund be returned to "the certificate holders."

Field Would "Protect Principle"

In his statement Field said he had been advised that "an effort is being made to form a committee of certificate holders to protect their own equities and those of all other certificate holders."

"Persons connected with that endeavor," he went on, "have communicated with me, stating that while they will maintain their own freedom of action, they would like me to take such steps as lie within my power to protect the fund and the basic democratic principle for which it was created."

He said he "assumed" the examination of the fund's books by the State Banking Department would be for the purpose of liquidating the fund and "returning to the certificate holders as close to 100 cents on the dollar as possible."

It was his understanding, he added, that the Banking Department would "treat as confidential" all information submitted. Field said that he had issued instructions for the presentation of the records and books to the banking authority.

Declaring that he would stand on his rights of immunity wherein the banking authority was concerned, Field said:

"I wish to state that I will under no circumstances consent to the harassment of the thousands of good Americans who in complete good faith loaned money to the bail fund for the purpose of bail in civil rights and labor cases.

"In or out of jail, I will continue to defend the American right of bail and oppose those who would subvert or destroy this cherished right. I am confident that Americans of goodwill, no matter what their political outlook, will unite on this issue, so basic to the maintenance of due process and democratic institutions."